

Employees Provident Fund Act, 1962

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Employee Provident Fund Act, 2019

Date of Certification and Publication in Nepal Gazette

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Amending Acts

1. Employee Provident Fund (Amendment) Act, 2019 2019.12.30
2. Nepal Acts Amending, Repealing and Re-enacting Act, 2019 2019.12.30
3. Employee Provident Fund (Second Amendment) Act, 2023 2023.04.31
4. Employee Provident Fund (Third Amendment) Act, 2029 2029.06.05
5. Employee Provident Fund (Fourth Amendment) Act, 2030 2030.05.15
6. Employee Provident Fund (Fifth Amendment) Act, 2042 2042.06.23
7. Judicial Administration Reform (Fourth Amendment) Act, 2043 2043.07.24
8. Employee Provident Fund (Sixth Amendment) Act, 2047 2047.10.27
9. Employee Provident Fund (Seventh Amendment) Act, 2048 2048.12.30
10. Employee Provident Fund (Eighth Amendment) Act, 2053 2053.09.17
11. Income Tax Act, 2058 2058.12.19

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12. Act to Amend Some Nepal Acts to Maintain Gender Equality, 2063 2063.07.17
13. Act to Strengthen the Republic and Amend Some Nepal Laws, 2066 2066.10.7
14. Act to Amend Some Nepal Acts Relating to Maintaining Gender Equality and Ending Gender Violence, 2072 2072.06.14
15. Employee Provident Fund (Ninth Amendment) Act, 2073 2073.06.18
16. Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075 2075.11.19
17. Act to Amend Some Nepal Acts, 2082 2082.04.14

Act No. 10 of the year 2019

An Act Made to Provide for Employee Provident Fund

Preamble: Amended by the Fifth Amendment. Whereas, it is expedient to provide for a Provident Fund, Pension Fund and other social security funds for the employees of the Government of Nepal and associated institutions, Amended by the Ninth Amendment. other employees and self-employed persons,

Therefore, His Majesty Mahendra Bir Bikram Shah Deva Amended by the Nepal Acts Amending, Repealing and Re-enacting Act, 2019. has enacted this Act in accordance with Article 93 of the Constitution of Nepal.
Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act shall be called the "Employee Provident Fund Act, 2019".

(2) Omitted by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066.

(3) This section shall come into force immediately, and all or any of the remaining sections or sub-sections shall come into force on such date as the Government of Nepal may, by notification in the Nepal Gazette, appoint from time to time. 2.

Definitions: In this Act, unless the subject or context otherwise requires,- (a) "Fund" means the Employee Provident Fund established under section 3. *(b) "Employee" means a civil servant, military personnel, police, Added by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066. armed police, constitutional body, Omitted by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066. and employees and teachers of the Fund, from whose monthly salary deductions are required to be made and deposited in the Fund, and the term shall also include Amended by the Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. employees of the provincial government service, local service, or employees, workers or laborers of an institution depositing money in the Fund pursuant to section 12B, and such other categories of employees as the Government of Nepal may, by notification in the Nepal Gazette, specify. Explanation: For the purposes of this Act, "employee" shall mean a permanent employee. Added by the Ninth Amendment.(b1) "Self-employed person" means a person engaged in a privately operated business or profession, such as an engineer, doctor, lawyer, auditor, or a person engaged in a similar profession or occupation, generating income from self-employment, or an employee associated with such person, and the term shall also include a person engaged in foreign employment, a person working on a temporary or service contract basis, a domestic worker, a farmer, a worker in the unorganized sector, a worker in a tea garden, and an employee working in a cooperative organization. (c) "Committee" means the Employee Provident Fund Board of Directors formed under section 4. Added by the Sixth Amendment.(c1) "Chairperson" means the Chairperson of the Committee. Added by the Sixth Amendment.(c2) "Director" means a member of the Committee, and the term shall also include the Chairperson and the Administrator. Added by the Sixth Amendment.(c3) "Administrator" means the Administrator of the Fund appointed pursuant to section 6A. (d) "Bond" means a debt issued by the Government of Nepal under the National Debt Act, 2019, and the term shall also include bonds of a foreign government. (e) Repealed by the Second Amendment. (f) Repealed by the Second Amendment. (g) Repealed by the Second Amendment. (h) Repealed by the Second Amendment. (i) Repealed by the Second Amendment. (j) "Debenture" means an instrument of debt taken by a company by pledging its property or providing guarantee. (k) Repealed by the Second Amendment. (l) Repealed by the Second Amendment. (m) "Salary" means only the salary that an employee receives according to the prevailing scale for the post held in return for services rendered, according to the terms of service.

Added by the Fifth Amendment.(n) "Office" means the office Amended by the Third Amendment. or institution responsible for deducting the Fund amount from the employee's salary and depositing it into the account specified by the Fund. Added by the Sixth Amendment.(n1) "Institution" means a bank, financial institution, company, firm, industry or any other similar government or non-government institution established as an institution under the prevailing law, Added by the Eighth Amendment. and the term shall also include diplomatic missions and international organizations located in Nepal Omitted by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066.. Added by the Fifth Amendment.(o) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act. Added by the Fifth Amendment.(p) "Specified by the Fund" means specified in the regulations made by the Fund under this Act or in a notice of the Fund. Chapter-2

Establishment, Formation and Management

3. Establishment of the Fund: (1) A Fund shall be established under the name "Employee Provident Fund". The Fund shall consist of the following amounts, and expenses for all works to be done in accordance with this Act or the rules made thereunder shall be borne from the Fund:

- (a) All amounts given by the Government of Nepal or any other person for the financial assistance of the Fund,
- (b) All amounts deducted from the salaries of employees under this Act, Added by the Fifth Amendment. and all amounts additionally deposited by the Office thereto,
- (c) All amounts received as interest and profit from the money of the Fund,
- (d) All amounts held in the Civil Provident Fund, Military Provident Fund and Employee Provident Fund operated by the Government of Nepal prior to the commencement of this Act, and
- (e) All amounts received by the Fund.

(2) All money of the Fund shall be kept in Nepal Rastra Bank or in any other bank specified by the Committee. Amended by the Third Amendment. Provided that, in a place where no such bank exists, the money of the Fund shall be kept in the Treasury Office or the Fund and Land Revenue Office.

(3) The Fund shall be a Amended by the Fifth Amendment. self-governing and organized body corporate with perpetual succession. It shall have a separate seal for all its works.

The Fund may sue and be sued in its own name. (4) Subject to this Act and the rules made thereunder, the Fund may acquire, hold, transfer, Added by the Ninth Amendment. sell and exchange movable and immovable property, and do all other things necessary for the fulfillment of the objectives of this Act. (5) The head office of the Fund shall be located Amended by the Ninth Amendment. within Kathmandu Valley, and for the smooth operation of the Fund's work, the Fund may open branches and sub-branches in other areas of Nepal whenever it deems necessary. Amended by the Sixth Amendment.

4. Formation of the Committee: (1) The Fund shall have a Board of Directors consisting of at least seven Directors. (2) The Committee referred to in sub-section (1) shall consist of the following Directors: (a) A person appointed by the Government of Nepal ? Chairperson (b) Three persons nominated by the Government of Nepal from various services of the Government of Nepal ? Directors (c) Two persons nominated by the Government of Nepal from banks, financial institutions and other organized institutions ? Directors (d) The Administrator of the Fund ? Director (3) When nominating Directors under clauses (b) and (c) of sub-section (2), the Government of Nepal shall nominate Directors in such a manner that representation from various services of the Government of Nepal, banks, financial institutions and various organized institutions is provided on a rotating basis. (4) The term of office of Directors other than the Administrator shall be three years, and after the expiry of the term, they may be appointed or nominated for a maximum of one more term. (5) If the office of a Director falls vacant before the expiry of the term, the vacancy shall be filled for the remaining period by the same procedure by which it was originally filled. (6) Notwithstanding anything contained elsewhere in this section, the Government of Nepal may, at any time, change the Directors appointed or nominated under sub-section (2). (7) The meeting allowance payable to Directors for participating in the Committee meeting shall be as determined by the Government of Nepal. (8) An officer of the Fund designated by the Committee shall act as the Secretary of the Committee. Amended by the Sixth Amendment.

Disqualification of Director: The following person shall be disqualified from being a Director of the Committee:

- (a) An undischarged insolvent, (b) Of unsound mind, (c) Convicted by a court of a criminal offense involving moral turpitude and sentenced to imprisonment for 6 months, (d) Who has taken a contract with the Fund

pursuant to section 28 or is a partner in such contract, Amended by the Third Amendment. (e) An employee serving in a post of the Government of Nepal below the rank of gazetted first class or of an organized institution below the tenth level or equivalent level, or (f) Who has been punished under section 29. Amended by the Sixth Amendment. 6. Filling of Vacancies: (1) A Director shall vacate his/her office in the following circumstances: (a) If he/she submits a written resignation and it is approved by the Government of Nepal, (b) If he/she fails to attend three consecutive meetings of the Committee without giving notice of the reason to the Committee, and the reason for such absence is not considered satisfactory by the Government of Nepal, Amended by the Third Amendment. (c) If the Directors nominated under clauses (b) and (c) of sub-section (2) of section 4 are no longer serving in the concerned body or institution, (d) If, before the expiry of the term, the Government of Nepal appoints another person in his/her place, or (e) If he/she incurs any disqualification mentioned in section 5. (2) If the Chairperson or any Director becomes unable to carry out the work of the Committee for some time due to illness, leave or any other reason, the Government of Nepal may make a temporary appointment of another person in his/her place to carry out the work during that period. Amended by the Sixth Amendment. 6A. Appointment of Administrator: Amended by the Eighth Amendment. (1) The Government of Nepal shall appoint, as the Administrator, a subscriber employee serving in a post of at least the gazetted first class of the Government of Nepal, or the first class officer level or the tenth level or equivalent level of the Fund or an institution, to act as the administrative head of the Fund for conducting its day-to-day operations. Amended by the Eighth Amendment. (2) The term of office of the Administrator appointed under sub-section (1) shall be five years, and he/she shall hold office during the pleasure of the Government of Nepal. (3) The remuneration, facilities and other terms of service of the Administrator shall be as determined by the Government of Nepal. 7. Management: (1) Amended by the Sixth Amendment.

The Government of Nepal may, after obtaining the opinion of the Committee, give such directions to the Fund from time to time as it deems necessary in the national interest. (2) The responsibility of operating the Fund in compliance with the directions given under sub-section (1) and carrying out all functions to be performed by the Fund under this Act shall be vested in the Committee. (3) The Committee may delegate the powers vested in it under this Act to the Administrator or any sub-committee as required. For the smooth operation of the Fund's work, the Administrator may, under his/her responsibility, delegate the authority for work obtained by him/her to officials and employees subordinate to him/her in the Fund. Amended by the Sixth Amendment. 8. Meeting of the Committee: (1) A meeting of the Committee shall be held at such date, place and time as determined by the Chairperson. (2) The meeting of the Committee shall be held at least 6 times a year, and the interval between two meetings shall not exceed three months. (3) Notwithstanding anything contained in sub-section (2), if at least three Directors make a written request along with the agenda to be discussed, the Chairperson, and in the absence of the Chairperson, the Administrator, shall convene a meeting of the Committee within seven days. (4) No meeting of the Committee shall be held without the presence of at least more than half of the Directors. (5) The meeting of the Committee shall be chaired by the Chairperson. In his/her absence, the Directors shall elect a Director from among themselves to chair the meeting of the Committee. (6) A decision in the Committee meeting shall be taken by a majority of votes, and in case of a tie, the Chairperson may cast a casting vote. (7) A record of the Directors present at the Committee meeting, the subjects of discussion and the decisions made thereon shall be recorded in a separate book. (8) The Committee may determine its own procedure for other matters related to its meetings. 9. Power of the Government of Nepal to Suspend the Committee: If it appears that the Committee is unable to perform the functions required under this Act, the Government of Nepal may, by notification in the Nepal Gazette, suspend the Committee and appoint any person or body in its place to conduct the work of the Committee under this Act, and all acts done by such person or body under this Act and the rules made

thereunder shall be deemed to have been done by the Committee under this Act. 10. Repealed by the Sixth Amendment. 11.

Relationship between the Government of Nepal and the Fund: In matters where the Fund needs to seek the opinion or approval of the Government of Nepal under this Act, or matters to be submitted to the Government of Nepal, correspondence with the Government of Nepal shall be made Amended by the Ninth Amendment.

through the Ministry of Finance. Added by the Ninth Amendment.11A. Monitoring and Inspection of the Fund:

(1) The Ministry of Finance may, as required, monitor and inspect the work and operations of the Fund. (2) Other provisions relating to monitoring and inspection shall be as determined by the Ministry of Finance.

Chapter-3 Work and Operations 12. Compulsory Deduction from Employee's Salary and Deposit in the Fund:

Amended by the Third Amendment. (1) Every Office shall, from the monthly salary of the employee, deduct the Fund amount at such rate not less than ten percent as prescribed, and shall deposit in the Fund that amount along with an additional amount equal to the prescribed percentage of that amount. (2) The Fund

deduction amount shall be compulsorily deducted. No consent of the concerned employee shall be required for that purpose. (3) Amended by the Fifth Amendment. The Fund deduction of an employee and the additional amount thereto shall be governed by the rules of the Office paying the employee's salary. (4) If an

employee is suspended, no Fund deduction shall be made from his/her salary during the period of suspension. However, if the suspension is revoked without the charge being proved, then a proportionate amount shall be deducted from the salary payable to the employee for that suspension period, and the additional amount Added by the Fifth Amendment. thereto shall also be added and deposited in the Fund in a

lump sum. (5) During the period an employee is on leave without pay or half-pay leave, the following shall apply: (a) No Fund deduction shall be made during the period of leave without pay. (b) During the period of

half-pay leave, Amended by the Fourth Amendment. Fund deduction shall be made at fifty percent of the rate specified in sub-section (1). Amended by the Fifth Amendment. (6) The head of every Office shall, pursuant

to sub-section (1), regularly deduct the Fund from the salaries of the employees of his/her Office, and shall deposit the same, along with the additional amount receivable and details thereof, in the office specified by

the Fund within the period specified by the Fund.

Added by the Fifth Amendment. (7) Nothing in this Act shall be deemed to prevent the Office from depositing in the Fund, in addition to the additional amount to be given pursuant to sub-section (1), other amounts to be

credited in the name of the employee. 12A. Omitted by the Eighth Amendment. Added by the Sixth Amendment.12B. Fund Deduction for Employees of Institutions: (1) Amended by the Ninth Amendment. An

organized institution may, from the monthly salary of its employees, deduct the Fund amount pursuant to section 12 and deposit it in the Fund.

(2) The Government of Nepal may, if it deems appropriate, by notification in the Nepal Gazette, order any institution to regularly deposit the amount under sub-section (1) from the monthly salary of its employees

receiving monthly salary, into the Fund.

(3) All provisions of section 12 shall apply in the case of employees from whose salary Fund deduction is made under this section.

(4) If an institution depositing money in the Fund by making Fund deductions under this section is dissolved or liquidated, the employees of such institution shall, for the purposes of this Act, be deemed to have left

service. Omitted by the Act to Amend Some Nepal Acts, 2062. (5)

Added by the Ninth Amendment.12C. Self-employed Person May Deposit Amount in the Fund: (1) A self-employed person may deposit such amount in the Fund as prescribed.

(2) The procedure for collection and payment of the amount deposited in the Fund under sub-section (1) and other provisions relating to the facilities to be received from the Fund shall be as prescribed. Amended by the Third Amendment.13. Work to be Done by the Fund after Money is Deposited in the Fund: Amended by the Ninth Amendment. (1) After money is deposited in the Fund pursuant to sections 12, 12B and 12C, the amount deposited in the name of each employee and self-employed person shall be credited to an account in the name of that employee and self-employed person.

(2) After the close of each year, the Fund shall provide to the employee a statement of account or annual statement showing the amount deducted monthly from the employee's salary, the amount Amended by the Fifth Amendment. additionally deposited by the Office, and other amounts deducted or deposited, as well as the Amended by the Fifth Amendment. interest earned on the amounts so accumulated.

Added by the Ninth Amendment. (2A) Notwithstanding anything contained in sub-section (2), in the case of a self-employed person, the relevant provisions shall be as prescribed.

(3) The Fund shall provide an identity card to each Amended by the Ninth Amendment. employee and self-employed person.

(4) For providing an identity card Omitted by the Fifth Amendment under sub-sections (2) and (3) or if such identity card is lost, torn or smudged, for providing another identity card Omitted by the Fifth Amendment the Fund may determine a fee therefor. Amended by the Third Amendment.14. Withdrawal of Money: Amended by the Eighth Amendment. (1) An employee who has continuously deposited Fund deduction amounts in the Fund for at least five years may withdraw money from the Fund not exceeding sixty percent of the total amount credited to his/her name up to the beginning of the fiscal year.

(2) Notwithstanding anything contained elsewhere in this Act, no employee shall withdraw money from the Fund as long as he/she remains in service, except as provided under sub-section (1).

(3) After an employee has withdrawn money once under sub-section (1), he/she shall not be entitled to withdraw money again until two years have elapsed from the date of such withdrawal. Added by the Sixth Amendment.14A. Adjustment of Accounts: (1) If any employee has already taken a loan from the Fund before the commencement of this section, the principal and interest amount outstanding to be paid from the loan taken by him/her shall be deducted from the Fund deduction amount accumulated in his/her name and the account shall be settled.

(2) If the account is settled under sub-section (1), and such employee wishes to withdraw money again from the Fund, only the balance amount after deducting the amount already withdrawn from the amount under sub-section (1) of section 14 shall be given. Provided that, he/she shall not be entitled to withdraw money again until two years have elapsed from the date of withdrawal of money or taking a loan from the Fund.

(3) If an employee who has taken a housing loan from the Fund wishes to settle the account from the Fund deduction amount, he/she may do so under sub-section (1). Added by the Sixth Amendment.14B. Withdrawn Money May be Returned: An employee may return the money withdrawn under section 14 to the Fund in a lump sum or in installments. Interest and profit shall be provided on the amount so deposited pursuant to section 15. Amended by the Third Amendment.15.

Payment of Interest and Profit: (1) The Fund shall pay interest on the amount credited in the name of an employee at such rate as may be determined from time to time under sub-section (2). (2) While determining the rate of interest, the Fund shall do so on a justifiable basis, taking into account the total amount under its

custody, the total amount of investment made therefrom, the total amount of dividend or interest received therefrom, and administrative expenses. Omitted by the Sixth Amendment. (3) (4) If, upon evaluating the capital and liabilities of the Fund at market price on the day of the close of each financial year, the Fund is unable to pay 3 percent annual interest, the shortfall amount shall be charged to the Consolidated Fund of the Government of Nepal. Amended by the Fifth Amendment. (5) Even if the service of an employee ends for any reason, the Fund shall pay interest on the amount accumulated in the Fund in his/her name until such amount is withdrawn from the Fund. Amended by the Sixth Amendment. (6) From the profit remaining in the annual accounts after the audit of the Fund has been completed, after setting aside an amount pursuant to section 25, the remaining profit amount shall be distributed among the subscribers as profit according to the rate and procedure determined by the Committee on the amount credited in the name of the subscriber up to the beginning of the fiscal year in which the profit was determined, and the determined amount shall be credited to their accounts. Omitted by the Seventh Amendment. (7) Added by the Third Amendment.15A. Right to Receive Refund of Fund Deduction Amount: Amended by the Act to Amend Some Nepal Acts Relating to Maintaining Gender Equality and Ending Gender Violence, 2072. (1) The entire amount, including principal and interest, standing in the account of an employee shall be refunded to him/her in a lump sum immediately upon his/her leaving the service for any reason.

If such employee has died, the person nominated by him/her shall receive the amount as nominated, and if he/she has not nominated anyone, or if the nominated person has also died before the death of the nominator, then the amount shall be received by the heirs according to the prevailing law relating to intestate succession.

(2) If the person nominated by the employee dies, or even if that person has not died but the employee so desires, the employee may nominate another person in his/her place, or may alter the nomination. Added by the Sixth Amendment. (1A) For the purposes of sub-section (1), an employee may nominate any person. The manner of nomination by an employee shall be as specified by the Fund.

(3) If, after the employee's service is terminated, he/she does not claim the Fund amount within three years from the date of termination, or does not give any notice to the Fund regarding claiming it, the Fund amount shall be received by the person nominated by him/her. If the nominated person also does not claim the amount within 2 years and 9 months from the date he/she became entitled to receive it, the Fund shall arrange for a notice to be published for public information. Amended by the Fifth Amendment. If the nominated person does not claim the amount within three months of the publication of the notice, Added by the Fifth Amendment. the amount shall be received by the heirs according to the prevailing law relating to intestate succession. Added by the Fifth Amendment. (3A) Notwithstanding anything contained in sub-section (5) of section 15, if the person entitled to receive the accumulated amount does not claim it within six years from the initial date of becoming eligible to receive it, that amount shall be credited to a separate account, and after so crediting to a separate account, no interest shall be paid on that amount.

(4) Notwithstanding anything contained in sub-section (1), the Fund shall deduct the amount of principal and interest outstanding to be paid by the employee on loans taken from the Fund Omitted by the Sixth Amendment

Added by the Third Amendment.15B. Notification to the Fund Regarding Employee's Status: (1) If an employee is newly appointed, transferred or promoted, the Office issuing the order of such new appointment, transfer or promotion shall immediately notify the Fund of that fact.

(2) If an employee is to retire upon reaching the age limit, the concerned Office or the Accounts Office shall

notify the Fund at least six months prior to the date of retirement, stating the employee's date of retirement.

Amended by the Sixth Amendment.

(3) If an employee retires or his/her service is terminated in any other manner, the former Office shall notify the Fund, stating the date of retirement or termination of service, for refund of the Fund deduction amount.

16. Repealed by the Sixth Amendment

17. Transfer of Capital: (1) The capital and liabilities of the Civil Provident Fund, Military Provident Fund and Employee Provident Fund operated by the Government of Nepal up to the date immediately preceding the commencement of this Act shall, after the commencement of this Act, be deemed to have been transferred to the Fund. The Government of Nepal shall hand over to the Fund, within six months of the commencement of this Act, the records, documents and works to be conducted under this Act relating to the capital and liabilities of those funds. After the Fund has so taken over the capital, liabilities and related records and documents, the money already standing in the names of employees prior to the commencement of this Act shall be deemed to have been deposited in the Fund and shall be operated under this Act.

(2) If, at the time of taking over the capital and liabilities under sub-section (1), the Fund determines that some or all of the principal, interest or both from the capital invested from the Civil Provident Fund, Military Provident Fund and Employee Provident Fund cannot be recovered, then in respect of such capital and investment, the Fund shall be deemed to have taken over such capital investment at the value assessed by the Fund. Even if the Fund takes over such capital investment, the shortfall amount shall be obtained Amended by the Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. from the Federal Consolidated Fund.

(3) Before taking over the capital investment determined to be of lower value or unrecoverable under sub-section (2), the Fund shall submit a report to the Government of Nepal after evaluating the actual details and status of such capital investment at market price.

(4) After receiving the report under sub-section (3), the Government of Nepal may, within three months, send a direction to the Fund for it to take over such capital investment, ensuring that the amount of such capital investment is immediately received by the Fund Amended by the Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. from the Federal Consolidated Fund. The Fund shall comply with such direction. 18.

Security of the Fund: Notwithstanding anything contained in the prevailing Nepal law, in respect of the matters written below, the following provisions shall apply: (a) No heir of an employee shall have any claim by way of share to the money standing in the Fund in the name of the employee. No tax shall be levied on him/her for the partition of the share. Even if there is a court decree, no creditor's claim shall be valid against the money standing in the Fund in the name of the employee. Under no offense, including confiscation of entire property under Nepal law, shall the employee's money in the Fund be forfeited. Even in cases where government dues are to be recovered, that money shall not be deducted or forfeited. (b) No tax of any kind, except income tax Amended by the Income Tax Act, 2058., shall be levied on the money standing in the Fund in the name of the employee, on the profit of the Fund, and on the money received by the employee from the Fund after it has been credited in his/her name. (c) If any amount of the Fund is invested or lent in a company, upon the dissolution of that company and distribution of its assets, the Fund shall have the first claim on the assets of that company for its investment, the dividend therefor, and the outstanding amount of interest on the loan, to be recovered. If any amount is receivable to the Fund from any other person, and that

person's assets are subject to distribution among creditors, the Fund shall have the first claim on that person's assets for the amount receivable. Other persons shall have a claim on the remaining assets of such company or person only after the amount so receivable to the Fund has been fully recovered. Added by the Eighth Amendment. Provided that, this provision shall not apply in relation to loans provided by the Fund on the basis of co-financing under clause (c) of section 19. (Amended by the Act to Amend Some Nepal Acts, 2062) Added by the Third Amendment. (d) If any industry, organized institution or employee fails to pay in time the loan, advance, debt or interest amount payable to the Fund according to a deed, then, after thirty-five days from the expiry of that time, the Fund may itself Amended by the Fifth Amendment. take possession of the house, land or any other property written as collateral or surety, and sell it by auction to recover the Fund's amount. Added by the Fifth Amendment.

If no one bids in the auction, the Fund may take ownership of that property. In such a situation, the government offices responsible for keeping records of such property or collecting land revenue shall, according to the Fund's notification, carry out necessary actions such as transfer, entry, deletion etc. in the records maintained in their office without charging any fee. Added by the Third Amendment. (e) After the Fund has taken collateral or Amended by the Fifth Amendment. surety under clause (d) or section 19A, the debtor shall not be entitled to give that property as collateral or mortgage to any other person or to transfer any right therein, and if the Fund writes to that effect, the office registering documents shall place an attachment on that property. Amended by the Fifth Amendment. (f) The interest rate to be taken and given by the Fund shall be as specified by the Fund. Added by the Fifth Amendment. (g) The Fund may, when granting loans or advances to any industry, organized institution or employee against immovable property collateral, fix a term not exceeding five years. Amended by the Fifth Amendment. (h) When granting a loan to an employee against collateral or surety, the Fund shall grant the loan only after it is confirmed that the collateral security in some place of Nepal Omitted by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066 sufficient to cover the loan is held in its security. The method of evaluating the property kept as such collateral or surety shall be as determined by the Fund. Added by the Fifth Amendment. (i) If the principal and interest amount of a loan or advance given by the Fund is not paid in full within the term of the installment agreement, and it becomes necessary to take possession of the property kept as collateral or surety and sell it by auction, the Fund may, after giving a notice of at least thirty-five days published in local newspapers, take possession of such property after the expiry of that period and sell it by auction.

Omitted by the Ninth Amendment. \$(j)

Added by

(2) Without prejudice to the generality of the power conferred by sub-section (1), rules may be made in particular with respect to all or any of the following matters, namely:?

- (a) the manner of conduct of business of the Committee and the procedure of its meetings;
- (b) the delegation of authority by the Committee to the Administrator and by the Administrator to officers and other employees subordinate to him or her;
- (c) the appointment, promotion, transfer, dismissal, salary, allowance, pension, gratuity, leave, conduct, discipline, and other terms of service and constitution of officers and other employees of the Fund;
- (d) the terms of lease agreements to be executed on behalf of the Fund, provided they are not inconsistent with the prevailing Nepal law;

(e) the procedure for making the seal of the Fund;

(f) Deleted by the Seventh Amendment.

(g) the issuance of a new identity card to an employee in case the identity card is lost, torn, or becomes unclear, smudged, or erased;

(h) the investment to be made by the Fund; and

(i) generally, the orderly conduct of all business to be carried out by the Fund under this Act. Added by the Fifth Amendment.30A. Power to make bye-laws: The Fund may make necessary bye-laws, not inconsistent with this Act and the rules made under this Act. Added by the Fifth Amendment.30B. Saving: Notwithstanding anything contained in the Land Related Act, 2021, the maximum ceiling shall not apply to land acquired by the Fund for the purpose of operating a housing project. 31. Precedence in case of conflict with other Nepal laws: Notwithstanding anything contained in the prevailing Nepal law, matters provided for in this Act and in the rules made under this Act shall be governed accordingly, and other matters shall be governed by the prevailing Nepal law. 32. Deleted by the Nepal Laws Amending and Consolidating Act, 2019.